36

Financial economic policy

Financial economic policy is about the things that the government does in financial markets, financial intermediaries, the creation of money, and the mechanics of government borrowing. While it stands alongside fiscal policy, there is a clear distinction between the two. Fiscal policy decides how much to borrow, and financial economic policy decides how to borrow.

The case for state intervention in finance

As with all other questions in public policy, the point of departure is the working of a pure free market. If the government did nothing in this field, what would go wrong? We can identify four main issues:

- There is a market failure in the form of *externalities* when there is a crisis on the financial markets. When private persons maximize their own interests, they sometimes do things which impose harm upon others by destabilizing the financial system. Government intervention helps increase the probability of consistent working of the financial system.

  Government intervention helps a lay participant feel certain that when securities are bought on the exchange, there will be no glitch in the payment of money and receipt of securities. Similarly, when a financial firm has made promises to lay persons, and comes to